

FEDERAL MARITIME COMMISSION

USL AUTO EXPORTING INC.,

COMPLAINANT,

v.

Docket No. 23-13

EASY SHIPPING CORPORATION,

RESPONDENT.

COMPLAINANT'S BRIEF

Pursuant to the Scheduling Order on March 18, 2024, Complainant, USL AUTO EXPORTING INC. (hereinafter "Complainant"), by and through the undersigned manager, respectfully submits this COMPLAINANT'S REPLY to address Complainant's request to the Commission to grant judgment in their favor on all counts, the Respondent's failure to submit a brief, and to request sanctions for wasting time and for their unfounded accusations of fraud.

DATED: August 6, 2024

Respectfully submitted,
USL AUTO EXPORTING INC.,
ANIS HOUSSEIN
Vice President for COMPLAINANT

MEMORANDUM OF LAW IN SUPPORT OF COMPLAINANT'S REPLY

I. INTRODUCTION

This Reply is presented by USL AUTO EXPORTING INC. (hereinafter "Complainant") against EASY SHIPPING CORPORATION (hereinafter "Respondent") pursuant to the Scheduling Order on March 18, 2024. Complainant seeks a judicial determination affirming that Complainant is entitled to judgment on all counts.

The Complainant asserts that the Respondent's conduct throughout this litigation reflects a deliberate disregard for procedural norms, marked by a series of misrepresentations, regulatory non-compliance, and an overall lack of engagement. These actions have resulted in significant delays, unnecessary expenditure of resources, and unresolved allegations of contractual breaches and statutory violations under 46 U.S.C. § 41102(c) and § 41104(a)(3).

This Reply outlines the factual history of the case, addresses the Respondent's failures, and supports the Complainant's requests for judgment, sanctions, and appropriate remedies. The Respondent's non-compliance, including their failure to submit a required brief and their lack of cooperation in the discovery process, underscores the necessity for the Commission to take decisive action. Case law and FMC precedent are cited to reinforce the appropriateness of the requested sanctions and judgment in favor of the Complainant.

II. **FACTUAL HISTORY**

This dispute between USL Auto Exporting Inc. ("Complainant") and Easy Shipping Corporation ("Respondent") originated from an agreement for the transportation of four vehicles, detailing specific requirements regarding the types of vehicles to be transported. Subsequent actions by the Respondent led to several complications, including alleged breaches of contract and violations of 46 U.S.C. § 41102(c) and § 41104(a)(3).

On December 4, 2023, the Complainant initiated proceedings by filing a complaint with the Federal Maritime Commission against the Respondent. In response, on December 23, 2023, the Respondent submitted a document titled "Response for Memorandum of Facts," which served as their answer to the complaint. On January 5, 2023, the Complainant filed a Motion for Default Judgment against the Respondent.

As the case progressed, on March 13, 2024, the Respondent filed a Response to the Complainant's Motion for Summary Judgment. This was followed by an order from the Commission on March 18, 2024, denying the Complainant's Motion for Summary Judgment. Subsequently, on March 25, 2024, the Complainant submitted a Renewed Motion for Summary Judgment. On March 13, 2024, both parties jointly filed a status report and proposed a discovery and briefing schedule.

During the discovery process, the Complainant sought to exchange and clarify material facts to narrow or resolve the allegations. Despite these efforts, the Respondent failed to respond effectively to the interrogatories (Ex. N, CX_116 to CX_119). Furthermore, the Respondent did not submit any requests for interrogatories or requests to produce documents, demonstrating a lack of diligence and cooperation in the discovery process.

To facilitate the discovery process, the Complainant sent a request to the Respondent to produce documents, offering an opportunity to supply any documents that might rebut the allegations. Unfortunately, the Respondent did not provide any such documents (Ex. N, CX_121 to CX_122).

On June 21, 2024, the Complainant submitted a brief relying on the facts established from the outset of the case, updated with the outcome of the discovery process. The Respondent was required to submit a brief by July 24, 2024, but failed to do so, further underscoring their non-compliance and lack of engagement in the litigation process.

III. ARGUMENT

In this section, Complainant seeks redress for Respondent's multiple failures and procedural violations throughout the litigation process. Specifically, Complainant requests that the Commission grant judgment in their favor based on clear evidence of statutory and regulatory violations by Respondent. Additionally, Complainant addresses the significant procedural shortcomings of Respondent, including their failure to submit a brief, which has impeded the efficient resolution of the dispute. Complainant also requests sanctions for Respondent's non-compliance with discovery obligations and the baseless accusations of fraud.

1. REQUEST FOR JUDGMENT

Complainant requests that the Commission grant judgment in favor of the allegations detailed in the Complainant's Brief. The evidence provided clearly demonstrates the Respondent's violations of statutory and regulatory requirements, thereby justifying a judgment in favor of the Complainant. The Respondent's procedural shortcomings and lack of substantive defense further support this request.

Federal Maritime Commission supports granting judgment when a party demonstrates clear violations of statutory and regulatory requirements and when the opposing party fails to provide a substantive defense. Federal Maritime Commission granted judgment in favor of the complainant after finding clear violations and the respondent's failure to provide a credible defense. *Distribution Services, Ltd. v. Trans-Pacific Freight Conference of Japan*, 28 S.R.R. 312 (FMC 1998). Additionally, Federal Maritime Commission granted a judgment due to the respondent's procedural violations and lack of engagement in the litigation process. *Evergreen Shipping Agency (America) Corp. v. Fed. Mar. Comm'n*, No. 23-1052 (D.C. Cir. 2024).

Given the Respondent's clear statutory and regulatory violations, coupled with their procedural shortcomings and lack of substantive defense, the Complainant respectfully requests that the Commission grant judgment in favor of the allegations outlined in the Complainant's Brief, consistent with FMC practices and supported by the cited case law.

2. FAILURE TO SUBMIT A BRIEF

The Respondent's failure to submit a brief demonstrates a blatant disregard for procedural requirements and a lack of engagement in the litigation process. This omission hinders the efficient resolution of the dispute and constitutes a waste of time and resources for all parties involved, including the Commission. The failure to submit a brief further indicates Respondent's inability to substantiate their defense against the allegations made by Complainant.

In *Evergreen Shipping Agency (America) Corp. v. Fed. Mar. Comm'n*, the court affirmed the FMC's decision to impose sanctions for procedural violations, emphasizing the importance of adhering to procedural requirements to ensure the fair and efficient resolution of disputes.

Evergreen Shipping Agency (America) Corp. v. Fed. Mar. Comm'n, No. 23-1052 (D.C. Cir. 2024). Similarly, in *South Atl. & Caribbean Line, Inc. v. Fed. Mar. Comm'n*, the court upheld the FMC's decision to enforce procedural rules, reinforcing the necessity of compliance to maintain the integrity of the litigation process. *South Atl. & Caribbean Line, Inc. v. Fed. Mar. Comm'n*, 424 F.2d 941 (D.C. Cir. 1970).

Given the Respondent's failure to submit a brief and engage meaningfully in the litigation process, the Complainant respectfully requests that the Commission consider appropriate remedies. These may include the imposition of monetary penalties to compensate for the wasted time and resources and to serve as a deterrent against future violations. The Complainant also seeks a default judgment in their favor due to the Respondent's procedural non-compliance, consistent with FMC practices and the cited case law.

3. REQUEST FOR SANCTIONS

In light of the Respondent's failure to participate meaningfully in the discovery process and their baseless accusations of fraud (See, Respondent's Response to Complainant's Motion for Summary Judgment ¶ 3, Mar. 13, 2024), Complainant respectfully requests the Commission to impose monetary sanctions on the Respondent. These sanctions should address the unnecessary time and resources wasted due to the Respondent's non-compliance and the undue burden placed on the Complainant in addressing and refuting the unfounded allegations of fraud. The sanctions would serve as a deterrent against such conduct and ensure adherence to procedural norms.

Federal Maritime Commission (FMC) precedent supports the imposition of sanctions for false allegations and non-compliance with discovery obligations. In *Distribution Services, Ltd. v. Trans-Pacific Freight Conference of Japan*, 1988 WL 340659 (FMC 1988), the FMC imposed sanctions for discovery violations, emphasizing the importance of adhering to procedural rules to ensure fair and efficient resolution of disputes. Additionally, in *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 2012 FMC LEXIS 16 (FMC 2012), the Commission highlighted the necessity of compliance with discovery requests and sanctioned parties for failing to meet these obligations.

Given the Respondent's clear pattern of non-compliance and the baseless nature of their allegations, the imposition of sanctions is both justified and necessary to uphold the integrity of the Commission's processes and to deter similar conduct in the future. Complainant requests that the sanctions include monetary penalties to compensate for the wasted time and resources, including administrative costs to serve as a deterrent against future violations.

VI. CONCLUSION FOR COMPLAINANT'S REPLY

In light of Respondent's substantial violations of procedural requirements and statutory obligations, as well as their failure to provide a substantive defense or engage meaningfully in the litigation process, Complainant respectfully requests the Commission to grant judgment in their favor on all counts. Respondent's non-compliance, including their failure to submit a required brief and to participate appropriately in discovery, has caused unnecessary delays and wasted resources. To remedy these issues and deter future violations, Complainant seeks both a judgment and monetary sanctions. The requested sanctions should reflect the time and resources expended due to Respondent's conduct and serve to uphold the integrity of the Commission's processes.

DATED: August 06, 2024,

Respectfully submitted,

USL AUTO EXPORTING INC.,
By: /s/ ANIS HOUSSEIN
ANIS HOUSSEIN
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Tel.: (862) 338-0889
Vice President for COMPLAINANT
USL AUTO EXPORTING INC.

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on the 7th day of August 2024, a true and correct copy of the foregoing Motion For Summary Judgment was served via electronic mail on:

EASY SHIPPING CORPORATION
(fracati@rafatilegal.com)

Anis Houssein
Anis Houssein

Vice President for COMPLAINANT
USL AUTO EXPORTING INC.,